



**Alliance Finance Co. Pte. Ltd.**  
Make the world a better place through sustainable finance

A horizontal row of stylized, sketch-like illustrations of diverse people of various ages and ethnicities, some standing and some sitting, in a light brown/grey tone.

# POWERING THE SOCIO-ECONOMIC REVIVAL

**Financial Statements  
for the Year Ended  
31st March 2024**



The first financial institution in South Asia to receive the SSCI Certification, the world's first measurable and certifiable standard for value driven financial institutions with holistic sustainability integration to the business.

# Alliance Finance Company PLC

## Statement of Profit or Loss - Company

| For the period ended 31st March                            | For the Quarter ended  |                      |            | For the Year ended     |                        |            |
|------------------------------------------------------------|------------------------|----------------------|------------|------------------------|------------------------|------------|
|                                                            | 2024                   | 2023                 | Variance % | 2024                   | 2023                   | Variance % |
|                                                            | (Unaudited)<br>LKR     | (Unaudited)<br>LKR   |            | (Unaudited)<br>LKR     | ( Audited )<br>LKR     |            |
| <b>Gross Income</b>                                        | <b>3,784,933,531</b>   | <b>3,267,170,438</b> | 16         | <b>13,926,094,250</b>  | <b>12,420,568,123</b>  | 12         |
| Interest income                                            | 3,505,780,158          | 3,172,322,070        | 11         | 13,184,634,453         | 11,946,843,634         | 10         |
| Interest expenses                                          | (1,627,920,543)        | (2,202,059,600)      | 26         | (7,297,688,560)        | (7,411,342,695)        | 2          |
| <b>Net Interest Income</b>                                 | <b>1,877,859,615</b>   | <b>970,262,470</b>   | 94         | <b>5,886,945,893</b>   | <b>4,535,500,939</b>   | 30         |
| Fee and commission income                                  | 102,159,873            | 55,250,771           | 85         | 318,390,667            | 182,764,216            | 74         |
| Net gain/(loss) from trading                               | (39,927,295)           | (13,480,534)         | (196)      | (22,928,907)           | 16,315,769             | (241)      |
| Other operating income (net)                               | 216,920,795            | 53,078,131           | 309        | 445,998,037            | 274,644,504            | 62         |
| <b>Total Operating Income</b>                              | <b>2,157,012,988</b>   | <b>1,065,110,838</b> | 103        | <b>6,628,405,690</b>   | <b>5,009,225,428</b>   | 32         |
| Impairment (charges) / reversal for loans and other losses | 47,128,742             | 240,813,574          | (80)       | (335,708,297)          | (274,638,036)          | (22)       |
| <b>Net Operating Income</b>                                | <b>2,204,141,730</b>   | <b>1,305,924,412</b> | 69         | <b>6,292,697,393</b>   | <b>4,734,587,392</b>   | 33         |
| <b>Operating Expenses</b>                                  |                        |                      |            |                        |                        |            |
| Personnel expenses                                         | (493,218,575)          | (341,254,139)        | (45)       | (1,604,634,943)        | (1,219,117,857)        | (32)       |
| Other operating expenses                                   | (660,664,920)          | (407,874,812)        | (62)       | (2,170,173,504)        | (2,004,309,715)        | (8)        |
| Depreciation and amortization                              | (44,902,966)           | (41,809,155)         | (7)        | (169,449,679)          | (162,069,603)          | (5)        |
| <b>Total operating expenses</b>                            | <b>(1,198,786,461)</b> | <b>(790,938,106)</b> | (52)       | <b>(3,944,258,126)</b> | <b>(3,385,497,175)</b> | (17)       |
| <b>Operating Profit before Taxes on Financial Services</b> | <b>1,005,355,269</b>   | <b>514,986,306</b>   | 95         | <b>2,348,439,267</b>   | <b>1,349,090,217</b>   | 74         |
| Taxes on financial services                                | (292,919,930)          | (129,193,611)        | (127)      | (668,603,605)          | (419,432,886)          | (59)       |
| <b>Operating Profit after Taxes on Financial Services</b>  | <b>712,435,339</b>     | <b>385,792,695</b>   | 85         | <b>1,679,835,662</b>   | <b>929,657,331</b>     | 81         |
| Share of profit/(loss) from associates                     | (2,932,714)            | (8,850,202)          | 67         | 18,031,098             | 21,068,498             | (14)       |
| <b>Profit before Taxation from Operations</b>              | <b>709,502,625</b>     | <b>376,942,493</b>   | 88         | <b>1,697,866,760</b>   | <b>950,725,829</b>     | 79         |
| Provision for income taxation                              | (285,186,880)          | (124,206,381)        | (130)      | (780,987,408)          | (445,801,882)          | (75)       |
| <b>Profit for the Period</b>                               | <b>424,315,745</b>     | <b>252,736,112</b>   | 68         | <b>916,879,352</b>     | <b>504,923,947</b>     | 82         |
| Basic/ Diluted earnings per share                          | 12.59                  | 7.50                 |            | 27.21                  | 14.98                  |            |
| Dividend Per Share paid                                    | -                      | -                    |            | 5.00                   | 8.00                   |            |

Alliance Finance Company PLC  
Statement of Profit or Loss - Group

| For the period ended 31st March                            | For the Quarter ended  |                      |            | For the Year ended     |                        |            |
|------------------------------------------------------------|------------------------|----------------------|------------|------------------------|------------------------|------------|
|                                                            | 2024                   | 2023                 | Variance % | 2024                   | 2023                   | Variance % |
|                                                            | (Unaudited)<br>LKR     | (Unaudited)<br>LKR   |            | (Unaudited)<br>LKR     | ( Audited )<br>LKR     |            |
| <b>Gross Income</b>                                        | <b>3,823,201,959</b>   | <b>3,305,095,072</b> | 16         | <b>14,063,875,468</b>  | <b>12,525,096,443</b>  | 12         |
| Interest income                                            | 3,506,881,388          | 3,178,368,025        | 10         | 13,200,296,688         | 11,959,844,861         | 10         |
| Interest expenses                                          | (1,627,960,151)        | (2,196,335,156)      | 26         | (7,286,440,505)        | (7,395,214,020)        | 1          |
| <b>Net Interest Income</b>                                 | <b>1,878,921,237</b>   | <b>982,032,869</b>   | 91         | <b>5,913,856,183</b>   | <b>4,564,630,841</b>   | 30         |
| Fee and commission income                                  | 125,268,898            | 81,983,021           | 53         | 413,481,566            | 272,637,751            | 52         |
| Net gain/(loss) from trading                               | (41,981,152)           | (17,929,001)         | (134)      | (24,710,704)           | 13,779,786             | (279)      |
| Other operating income (net)                               | 233,032,825            | 62,673,027           | 272        | 474,807,918            | 278,834,045            | 70         |
| <b>Total Operating Income</b>                              | <b>2,195,241,808</b>   | <b>1,108,759,916</b> | 98         | <b>6,777,434,963</b>   | <b>5,129,882,423</b>   | 32         |
| Impairment (charges) / reversal for loans and other losses | 47,128,741             | 240,813,574          | (80)       | (335,708,297)          | (274,638,036)          | (22)       |
| <b>Net Operating Income</b>                                | <b>2,242,370,549</b>   | <b>1,349,573,490</b> | 66         | <b>6,441,726,666</b>   | <b>4,855,244,387</b>   | 33         |
| <b>Operating Expenses</b>                                  |                        |                      |            |                        |                        |            |
| Personnel expenses                                         | (495,563,810)          | (344,145,494)        | (44)       | (1,618,466,326)        | (1,231,220,988)        | (31)       |
| Other operating expenses                                   | (656,064,846)          | (415,559,344)        | (58)       | (2,180,701,749)        | (2,020,716,220)        | (8)        |
| Depreciation and amortization                              | (45,078,367)           | (41,979,642)         | (7)        | (170,136,539)          | (162,752,147)          | (5)        |
| <b>Total operating expenses</b>                            | <b>(1,196,707,023)</b> | <b>(801,684,480)</b> | (49)       | <b>(3,969,304,614)</b> | <b>(3,414,689,355)</b> | (16)       |
| <b>Operating Profit before Taxes on Financial Services</b> | <b>1,045,663,526</b>   | <b>547,889,010</b>   | 91         | <b>2,472,422,052</b>   | <b>1,440,555,032</b>   | 72         |
| Taxes on financial services                                | (292,919,930)          | (129,193,611)        | (127)      | (668,603,605)          | (419,432,886)          | (59)       |
| <b>Operating Profit after Taxes on Financial Services</b>  | <b>752,743,596</b>     | <b>418,695,399</b>   | 80         | <b>1,803,818,447</b>   | <b>1,021,122,146</b>   | 77         |
| Share of profit/(loss) from associates                     | (2,932,714)            | (8,850,202)          | 67         | 18,031,098             | 21,068,498             | (14)       |
| <b>Profit before Taxation from Operations</b>              | <b>749,810,882</b>     | <b>409,845,197</b>   | 83         | <b>1,821,849,545</b>   | <b>1,042,190,644</b>   | 75         |
| Provision for income taxation                              | (294,003,855)          | (139,712,393)        | (110)      | (813,288,033)          | (482,740,665)          | (68)       |
| <b>Profit for the Period</b>                               | <b>455,807,027</b>     | <b>270,132,804</b>   | 69         | <b>1,008,561,512</b>   | <b>559,449,979</b>     | 80         |
| Profit attributable to :                                   |                        |                      |            |                        |                        |            |
| Equity holders of the Company                              | 444,451,272            | 263,859,594          | 68         | 975,500,926            | 532,796,274            | 83         |
| Non controlling interest                                   | 11,355,755             | 6,273,210            | 81         | 33,060,586             | 26,653,705             | 24         |
| <b>Profit for the Period</b>                               | <b>455,807,027</b>     | <b>270,132,804</b>   | 69         | <b>1,008,561,512</b>   | <b>559,449,979</b>     | 80         |
| Basic/ Diluted earnings per share                          | 13.19                  | 7.83                 |            | 28.95                  | 15.81                  |            |
| Dividend Per Share paid                                    | -                      | -                    |            | 5.00                   | 8.00                   |            |

# Alliance Finance Company PLC

## Statement of Comprehensive Income - Company

| For the period ended 31st March                                                                      | For the Quarter ended |                    |               | For the Year ended   |                    |               |
|------------------------------------------------------------------------------------------------------|-----------------------|--------------------|---------------|----------------------|--------------------|---------------|
|                                                                                                      | 2024                  | 2023               | Variance<br>% | 2024                 | 2023               | Variance<br>% |
|                                                                                                      | (Unaudited)<br>LKR    | (Unaudited)<br>LKR |               | (Unaudited)<br>LKR   | ( Audited )<br>LKR |               |
| <b>Profit for the period</b>                                                                         | <b>424,315,745</b>    | <b>270,132,804</b> | 57            | <b>916,879,352</b>   | <b>504,923,947</b> | 82            |
| <b>Other Comprehensive Income</b>                                                                    |                       |                    |               |                      |                    |               |
| <b>Other Comprehensive Income not to be<br/>Reclassified to Profit or Loss</b>                       |                       |                    |               |                      |                    |               |
| Actuarial gains /( losses ) on defined benefit plans                                                 | 15,519,237            | 69,304,725         | (78)          | 15,519,237           | 69,304,725         | (78)          |
| Deferred tax effect on above                                                                         | (4,655,771)           | (20,791,418)       | 78            | (4,655,771)          | (20,791,418)       | 78            |
| Surplus from revaluation of property, plant & equipment                                              | 529,154,857           | -                  | -             | 529,154,857          | -                  | -             |
| Deferred tax effect on land                                                                          | (90,269,862)          | -                  | -             | (90,269,862)         | -                  | -             |
| Deferred tax effect on building                                                                      | (68,476,595)          | -                  | -             | (68,476,595)         | -                  | -             |
| Equity investments at FVOCI -net change in fair value & realized profit/ (loss) to retained earnings | 21,690,148            | 14,795,420         | 47            | 41,220,588           | (7,105,330)        | 680           |
| <b>Net Other Comprehensive Income not be<br/>Classified to Profit or Loss</b>                        | <b>402,962,014</b>    | <b>63,308,727</b>  | 537           | <b>422,492,454</b>   | <b>41,407,977</b>  | 920           |
| <b>Total Comprehensive Income for the period</b>                                                     | <b>827,277,759</b>    | <b>333,441,530</b> | 148           | <b>1,339,371,806</b> | <b>546,331,924</b> | 145           |

# Alliance Finance Company PLC

## Statement of Comprehensive Income - Group

| For the period ended 31st March                                                                      | For the Quarter ended |                    |               | For the Year ended   |                    |               |
|------------------------------------------------------------------------------------------------------|-----------------------|--------------------|---------------|----------------------|--------------------|---------------|
|                                                                                                      | 2024                  | 2023               | Variance<br>% | 2024                 | 2023               | Variance<br>% |
|                                                                                                      | (Unaudited)<br>LKR    | (Unaudited)<br>LKR |               | (Unaudited)<br>LKR   | ( Audited )<br>LKR |               |
| <b>Profit for the period</b>                                                                         | <u>455,807,027</u>    | <u>270,132,804</u> | 69            | <u>1,008,561,512</u> | <u>559,449,979</u> | 80            |
| <b>Other Comprehensive Income</b>                                                                    |                       |                    |               |                      |                    |               |
| <b>Other Comprehensive Income not to be<br/>Reclassified to Profit or Loss</b>                       |                       |                    |               |                      |                    |               |
| Actuarial gains /( losses ) on defined benefit plans                                                 | 14,130,047            | 70,635,125         | (80)          | 14,130,047           | 70,635,125         | (80)          |
| Deferred tax effect on above                                                                         | (4,655,771)           | (20,791,418)       | 78            | (4,655,771)          | (20,791,418)       | 78            |
| Surplus from revaluation of property, plant & equipment                                              | 529,154,857           | -                  | -             | 529,154,857          | -                  | -             |
| Deferred tax effect on land                                                                          | (90,269,862)          | -                  | -             | (90,269,862)         | -                  | -             |
| Deferred tax effect on building                                                                      | (68,476,595)          | -                  | -             | (68,476,595)         | -                  | -             |
| Equity investments at FVOCI -net change in fair value & realized profit/ (loss) to retained earnings | 21,690,148            | 14,795,420         | 47            | 41,220,588           | (7,105,330)        | 680           |
| <b>Net Other Comprehensive Income not be<br/>Classified to Profit or Loss</b>                        | <u>401,572,824</u>    | <u>64,639,127</u>  | 521           | <u>421,103,264</u>   | <u>42,738,377</u>  | 885           |
| <b>Total Comprehensive Income for the period</b>                                                     | <u>857,379,851</u>    | <u>334,771,931</u> | 156           | <u>1,429,664,776</u> | <u>602,188,356</u> | 137           |
| Attributable to:                                                                                     |                       |                    |               |                      |                    |               |
| Equity holders of the company                                                                        | 846,024,096           | 388,390,213        | 118           | 1,396,604,190        | 575,534,615        | 143           |
| Non controlling interest                                                                             | 11,355,755            | (53,618,283)       | (121)         | 33,060,586           | 26,653,741         | 24            |
| <b>Total Comprehensive Income for the period</b>                                                     | <u>857,379,851</u>    | <u>334,771,931</u> | 156           | <u>1,429,664,776</u> | <u>602,188,356</u> | 137           |

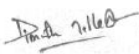
**Alliance Finance Company PLC**  
**Statement of Financial Position**

| As at                                                             | Company               |                       |          | Group                 |                       |          |
|-------------------------------------------------------------------|-----------------------|-----------------------|----------|-----------------------|-----------------------|----------|
|                                                                   | 31.03.2024            | 31.03.2023            | Variance | 31.03.2024            | 31.03.2023            | Variance |
|                                                                   | LKR<br>(Unaudited)    | LKR<br>(Audited)      | %        | LKR<br>(Unaudited)    | LKR<br>(Audited)      | %        |
| <b>Assets</b>                                                     |                       |                       |          |                       |                       |          |
| Cash and cash equivalents                                         | 1,037,507,757         | 566,946,383           | 83       | 1,136,828,171         | 624,723,130           | 82       |
| Repurchase agreements                                             | 962,606,909           | 250,154,110           | 285      | 962,606,909           | 250,154,110           | 285      |
| Placements with banks & financial institutions                    | 3,246,352,935         | 4,905,611,281         | (34)     | 3,383,898,083         | 4,919,075,748         | (31)     |
| Financial assets recognised through profit or loss                | 3,508,968,758         | 3,130,690,272         | 12       | 3,508,968,758         | 3,130,690,272         | 12       |
| Loans and advances - at amortised cost                            | 23,506,870,064        | 17,449,867,823        | 35       | 23,506,870,064        | 17,449,867,823        | 35       |
| Lease rentals receivable & stock out on hire - at amortised cost  | 22,597,190,332        | 21,552,425,839        | 5        | 22,597,190,332        | 21,552,425,839        | 5        |
| Financial assets- fair value through other comprehensive income   | 317,703,694           | 182,705,621           | 74       | 317,703,694           | 182,705,621           | 74       |
| Other trading stocks                                              | 85,653,478            | 59,653,942            | 44       | 85,653,478            | 59,653,942            | 44       |
| Other financial assets                                            | 458,631,541           | 415,454,128           | 10       | 450,152,849           | 417,933,228           | 8        |
| Other non financial assets                                        | 257,537,354           | 173,787,786           | 48       | 265,196,987           | 174,283,305           | 52       |
| Investments in associates                                         | 110,332,180           | 70,906,846            | 56       | 128,484,547           | 97,412,381            | 32       |
| Investments in subsidiaries                                       | 16,924,038            | 16,924,038            | -        | -                     | -                     | -        |
| Investment property                                               | 187,680,000           | 163,200,000           | 15       | 295,680,000           | 253,200,000           | 17       |
| Property, plant & equipment                                       | 3,202,649,652         | 2,595,446,980         | 23       | 3,202,950,925         | 2,596,074,215         | 23       |
| Intangible assets                                                 | 147,087,856           | 139,188,404           | 6        | 147,169,590           | 139,461,804           | 6        |
| Right of use asset                                                | 356,347,453           | 365,346,690           | (2)      | 356,347,453           | 365,346,690           | (2)      |
| Deferred tax assets                                               | 174,526,137           | 209,616,678           | (17)     | 175,796,752           | 210,498,249           | (16)     |
| <b>Total Assets</b>                                               | <b>60,174,570,138</b> | <b>52,247,926,821</b> | 15       | <b>60,521,498,592</b> | <b>52,423,506,357</b> | 15       |
| <b>Liabilities</b>                                                |                       |                       |          |                       |                       |          |
| Due to banks                                                      | 20,310,185,391        | 22,571,002,700        | (10)     | 20,310,185,391        | 22,571,002,700        | (10)     |
| Due to depositors - at amortised cost                             | 28,387,365,249        | 20,475,847,835        | 39       | 28,386,553,614        | 20,390,703,071        | 39       |
| Other financial liabilities                                       | 1,129,788,583         | 522,582,852           | 116      | 1,159,602,656         | 558,574,175           | 108      |
| Other non financial liabilities                                   | 219,237,671           | 87,430,046            | 151      | 219,237,671           | 88,295,195            | 148      |
| Derivative financial liabilities                                  | 5,379,033             | 36,175,016            | (85)     | 5,379,033             | 36,175,016            | (85)     |
| Income tax liabilities                                            | 928,513,196           | 708,410,305           | 31       | 938,772,455           | 722,146,198           | 30       |
| Retirement benefit liabilities                                    | 52,103,008            | 48,489,232            | 7        | 56,338,393            | 50,962,873            | 11       |
| Deferred tax liabilities                                          | 663,298,289           | 478,434,654           | 39       | 668,778,398           | 478,434,654           | 40       |
| Lease Liability                                                   | 349,669,732           | 361,416,001           | (3)      | 349,669,731           | 361,416,001           | (3)      |
| <b>Total Liabilities</b>                                          | <b>52,045,540,152</b> | <b>45,289,788,641</b> | 15       | <b>52,094,517,342</b> | <b>45,257,709,883</b> | 15       |
| <b>Shareholders' Funds</b>                                        |                       |                       |          |                       |                       |          |
| Stated capital                                                    | 613,980,000           | 613,980,000           | -        | 613,980,000           | 613,980,000           | -        |
| Retained earnings                                                 | 4,509,940,679         | 3,761,997,661         | 20       | 4,675,362,989         | 3,870,187,587         | 21       |
| Reserves                                                          | 3,005,109,307         | 2,582,160,519         | 16       | 3,005,109,307         | 2,582,160,519         | 16       |
| <b>Total Equity Attributable to Equity Holders of the Company</b> | <b>8,129,029,986</b>  | <b>6,958,138,180</b>  | 17       | <b>8,294,452,296</b>  | <b>7,066,328,106</b>  | 17       |
| Non controlling interest                                          | -                     | -                     | -        | 132,528,954           | 99,468,368            | 33       |
| <b>Total Equity</b>                                               | <b>8,129,029,986</b>  | <b>6,958,138,180</b>  | 17       | <b>8,426,981,250</b>  | <b>7,165,796,474</b>  | 18       |
| <b>Total Liabilities and Shareholders' Funds</b>                  | <b>60,174,570,138</b> | <b>52,247,926,821</b> | 15       | <b>60,521,498,592</b> | <b>52,423,506,357</b> | 15       |
| Contingent Liabilities and Commitments                            | 820,666,741           | 857,880,137           |          | 820,666,741           | 857,880,137           |          |
| Net assets value per share (LKR)                                  | 241                   | 206                   |          | 246                   | 210                   |          |

Accounting policies & notes to the accounts form an integral part of these Financial Statements.

**Certification**

I certify that these Financial Statements are presented in compliance with the requirements of the Companies Act No. 07 of 2007.

  
W.A.D.D. Tillekeratne  
Chief Financial Officer

  
W.P.K. Jayawardane  
Deputy Managing Director

  
R. K. E.P. de Silva  
Deputy Chairman & Managing Director

30-May-24  
Colombo

Alliance Finance Company PLC  
Statement of Changes in Equity

| Company                                                                       | Stated Capital     | Statutory Reserve Fund | Revaluation Reserve  | General Reserve    | FVOCI               | Non Controlling Interest | Retained Earnings    | Total                |
|-------------------------------------------------------------------------------|--------------------|------------------------|----------------------|--------------------|---------------------|--------------------------|----------------------|----------------------|
|                                                                               | LKR                | LKR                    | LKR                  | LKR                | LKR                 | LKR                      | LKR                  | LKR                  |
| <b>Balance as at 1st April 2022 (Audited)</b>                                 | 613,980,000        | 977,236,040            | 1,223,390,151        | 388,258,055        | (21,728,358)        | -                        | 3,500,238,368        | 6,681,374,256        |
| Profit for the period                                                         | -                  | -                      | -                    | -                  | -                   | -                        | 504,923,947          | 504,923,947          |
| <b>Other comprehensive income, net of tax</b>                                 |                    |                        |                      |                    |                     |                          |                      |                      |
| Net actuarial gain/(loss) on defined benefit plan                             | -                  | -                      | -                    | -                  | -                   | -                        | 48,513,307           | 48,513,307           |
| Equity investments at FVOCI - net change in fair value & Disposal profit      | -                  | -                      | -                    | -                  | (7,105,330)         | -                        | -                    | (7,105,330)          |
| Transfer of realized profit on equity instrument disposal to retained earning | -                  | -                      | -                    | -                  | (3,136,236)         | -                        | 3,136,236            | -                    |
| Transfer to statutory reserve                                                 | -                  | 25,246,197             | -                    | -                  | -                   | -                        | (25,246,197)         | -                    |
| Dividend paid                                                                 | -                  | -                      | -                    | -                  | -                   | -                        | (269,568,000)        | (269,568,000)        |
| <b>Balances as at 31st March 2023</b>                                         | <b>613,980,000</b> | <b>1,002,482,237</b>   | <b>1,223,390,151</b> | <b>388,258,055</b> | <b>(31,969,924)</b> | <b>-</b>                 | <b>3,761,997,661</b> | <b>6,958,138,180</b> |
| <b>Balance as at 1st April 2023 (Audited)</b>                                 | 613,980,000        | 1,002,482,237          | 1,223,390,151        | 388,258,055        | (31,969,924)        | -                        | 3,761,997,661        | 6,958,138,180        |
| Profit for the period                                                         | -                  | -                      | -                    | -                  | -                   | -                        | 916,879,352          | 916,879,352          |
| <b>Other comprehensive income, net of tax</b>                                 |                    |                        |                      |                    |                     |                          |                      |                      |
| Net actuarial gain/(loss) on defined benefit plan                             | -                  | -                      | -                    | -                  | -                   | -                        | 10,863,466           | 10,863,466           |
| Equity investments at FVOCI - net change in fair value & Disposal profit      | -                  | -                      | -                    | -                  | 41,220,588          | -                        | -                    | 41,220,588           |
| Transfer of realized profit on equity instrument disposal to retained earning | -                  | -                      | -                    | -                  | (34,524,168)        | -                        | 34,524,168           | -                    |
| Revaluation Surplus                                                           | -                  | -                      | 370,408,400          | -                  | -                   | -                        | -                    | 370,408,400          |
| Transfer to statutory reserve                                                 | -                  | 45,843,968             | -                    | -                  | -                   | -                        | (45,843,968)         | -                    |
| Dividend paid                                                                 | -                  | -                      | -                    | -                  | -                   | -                        | (168,480,000)        | (168,480,000)        |
| <b>Balances as at 31st March 2024</b>                                         | <b>613,980,000</b> | <b>1,048,326,205</b>   | <b>1,593,798,551</b> | <b>388,258,055</b> | <b>(25,273,504)</b> | <b>-</b>                 | <b>4,509,940,679</b> | <b>8,129,029,986</b> |

Alliance Finance Company PLC  
Statement of Changes in Equity

| Group                                                                         | Stated Capital     | Statutory Reserve Fund | Revaluation Reserve  | General Reserve    | FVOCI               | Non Controlling Interest | Retained Earnings    | Total                |
|-------------------------------------------------------------------------------|--------------------|------------------------|----------------------|--------------------|---------------------|--------------------------|----------------------|----------------------|
|                                                                               | LKR                | LKR                    | LKR                  | LKR                | LKR                 | LKR                      | LKR                  | LKR                  |
| <b>Balance as at 1st April 2022 (Audited)</b>                                 | 613,980,000        | 977,236,040            | 1,223,390,151        | 388,258,055        | (21,728,358)        | 72,478,808               | 3,588,577,822        | 6,842,192,518        |
| Profit for the period                                                         | -                  | -                      | -                    | -                  | -                   | 26,653,741               | 532,796,238          | 559,449,979          |
| <b>Other comprehensive income, net of tax -</b>                               |                    |                        |                      |                    |                     |                          |                      |                      |
| Net actuarial gain/(loss) on defined benefit plan                             | -                  | -                      | -                    | -                  | -                   | 335,819                  | 49,507,888           | 49,843,707           |
| Equity investments at FVOCI - net change in fair value &                      |                    |                        |                      |                    |                     |                          |                      |                      |
| Disposal profit                                                               | -                  | -                      | -                    | -                  | (7,105,330)         | -                        | -                    | (7,105,330)          |
| Transfer of realized profit on equity instrument disposal to retained earning | -                  | -                      | -                    | -                  | (3,136,236)         | -                        | 3,136,236            | -                    |
| Transfer to statutory reserve                                                 | -                  | 25,246,197             | -                    | -                  | -                   | -                        | (25,246,197)         | -                    |
| Dividend paid                                                                 | -                  | -                      | -                    | -                  | -                   | -                        | (278,584,400)        | (278,584,400)        |
| <b>Balances as at 31st March 2023</b>                                         | <b>613,980,000</b> | <b>1,002,482,237</b>   | <b>1,223,390,151</b> | <b>388,258,055</b> | <b>(31,969,924)</b> | <b>99,468,368</b>        | <b>3,870,187,587</b> | <b>7,165,796,474</b> |
| <b>Balance as at 1st April 2023 (Audited)</b>                                 | 613,980,000        | 1,002,482,237          | 1,223,390,151        | 388,258,055        | (31,969,924)        | 99,468,368               | 3,870,187,587        | 7,165,796,474        |
| Profit for the period                                                         | -                  | -                      | -                    | -                  | -                   | 33,060,586               | 975,500,926          | 1,008,561,512        |
| <b>Other comprehensive income, net of tax -</b>                               |                    |                        |                      |                    |                     |                          |                      |                      |
| Net actuarial gain/(loss) on defined benefit plan                             | -                  | -                      | -                    | -                  | -                   | -                        | 9,474,276            | 9,474,276            |
| Equity investments at FVOCI - net change in fair value &                      |                    |                        |                      |                    |                     |                          |                      |                      |
| Disposal profit                                                               | -                  | -                      | -                    | -                  | 41,220,588          | -                        | -                    | 41,220,588           |
| Transfer of realized profit on equity instrument disposal to retained earning | -                  | -                      | -                    | -                  | (34,524,168)        | -                        | 34,524,168           | -                    |
| Revaluation Surplus                                                           | -                  | -                      | 370,408,400          | -                  | -                   | -                        | -                    | 370,408,400          |
| Transfer to statutory reserve                                                 | -                  | 45,843,968             | -                    | -                  | -                   | -                        | (45,843,968)         | -                    |
| Dividend paid                                                                 | -                  | -                      | -                    | -                  | -                   | -                        | (168,480,000)        | (168,480,000)        |
| <b>Balances as at 31st March 2024</b>                                         | <b>613,980,000</b> | <b>1,048,326,205</b>   | <b>1,593,798,551</b> | <b>388,258,055</b> | <b>(25,273,504)</b> | <b>132,528,954</b>       | <b>4,675,362,989</b> | <b>8,426,981,250</b> |

Figures in brackets indicate deductions.

Accounting policies & notes to accounts form an integral part of these Financial Statements.

## STATEMENTS OF CASH FLOWS

For the year ended 31st March

|                                                                 | Company              |                        | Group                |                        |
|-----------------------------------------------------------------|----------------------|------------------------|----------------------|------------------------|
|                                                                 | 2024                 | 2023                   | 2024                 | 2023                   |
| Cash Flows From / (Used in) Operating Activities                | LKR                  | LKR                    | LKR                  | LKR                    |
| Profit before Income Tax Expense                                | 1,697,866,760        | 950,725,829            | 1,821,849,545        | 1,042,190,644          |
| <b>Adjustments for;</b>                                         |                      |                        |                      |                        |
| Depreciation of property, plant & equipment                     | 158,683,135          | 150,711,053            | 159,178,329          | 151,201,931            |
| Amortization of intangible assets                               | 10,766,544           | 11,358,550             | 10,958,210           | 11,550,216             |
| Amortization of right of use asset                              | 128,590,164          | 127,702,817            | 128,590,164          | 127,702,817            |
| Interest expense on lease liability                             | 45,325,284           | 44,022,441             | 45,325,284           | 44,022,441             |
| Impairment provision /(reversal)                                | 106,846,334          | 40,334,682             | 106,846,334          | 40,334,682             |
| Interest on fixed deposits, commercial paper & treasury bills   | (405,447,590)        | (243,766,340)          | (421,109,825)        | (256,767,567)          |
| Fair value gain on investments (FVTPL)                          | (7,172,338)          | -                      | (7,172,338)          | -                      |
| Fair value gain on investment property                          | (24,480,000)         | (3,609,900)            | (42,480,000)         | (7,949,484)            |
| Bad debt written-off                                            | 228,861,963          | 234,303,354            | 228,861,963          | 234,303,354            |
| Diminution/(appreciation) in value of treasury bonds            | -                    | 2,753,591              | -                    | 2,753,591              |
| Loss/(profit) on disposal of property, plant & equipment        | (78,391,610)         | (12,652,649)           | (78,391,610)         | (12,652,649)           |
| Loss/(profit) from sale of vehicle                              | (43,035,311)         | 3,122,258              | (43,035,311)         | 3,122,258              |
| Loss/(profit) on disposal of real estates                       | (4,503,313)          | (9,105,101)            | (4,503,313)          | (9,105,101)            |
| Provision for defined benefit plans                             | 59,869,919           | 64,321,756             | 60,563,055           | 65,228,272             |
| Dividend received                                               | (12,264,186)         | (29,789,738)           | (19,219,784)         | (20,174,158)           |
| Share of (profit) from associates                               | (18,031,098)         | (21,068,498)           | (18,031,098)         | (21,068,498)           |
| <b>Operating Profit before Working Capital Changes</b>          | <b>1,843,484,657</b> | <b>1,309,364,105</b>   | <b>1,928,229,605</b> | <b>1,394,692,749</b>   |
| (Increase)/decrease in trading stock                            | 21,539,088           | 53,647,645             | 21,539,088           | 53,647,645             |
| (Increase)/decrease in loans and advances                       | (6,123,554,883)      | (2,602,720,732)        | (6,123,554,884)      | (2,602,720,732)        |
| (Increase)/decrease in lease rentals receivable                 | (1,314,894,396)      | 3,627,297,790          | (1,314,894,397)      | 3,627,297,790          |
| (Increase)/decrease in hire purchase rentals receivable         | 974,249              | 10,858                 | 974,249              | 10,858                 |
| (Increase)/decrease in fixed deposits & repurchase agreements   | 946,805,547          | (4,617,840,183)        | 822,724,866          | (4,631,304,650)        |
| (Increase)/decrease in other financial assets                   | (43,177,413)         | 220,886,321            | (32,219,621)         | 212,723,365            |
| (Increase)/decrease in other non financial assets               | 65,518,508           | 133,102,711            | 58,354,394           | 89,060,073             |
| (Increase)/decrease in derivative financial liabilities         | (30,795,983)         | 119,098,210            | (30,795,983)         | 119,098,210            |
| Increase/(decrease) in amounts due to depositors                | 7,911,517,414        | 5,794,472,153          | 7,995,850,543        | 5,709,327,388          |
| Increase/(decrease) in other financial liabilities              | 550,134,178          | (830,273,099)          | 543,956,927          | (784,818,486)          |
| Increase/(decrease) in other non financial liabilities          | 131,807,625          | (96,676,127)           | 130,942,477          | (95,810,979)           |
| <b>Cash generated from/(used in) Operations</b>                 | <b>3,959,358,591</b> | <b>3,110,369,652</b>   | <b>4,001,107,264</b> | <b>3,091,203,231</b>   |
| Retirement benefit liabilities paid                             | (40,736,908)         | (27,744,250)           | (40,736,908)         | (27,744,250)           |
| Investment in gratuity fund                                     | -                    | (40,212,220)           | -                    | (40,212,220)           |
| Taxes paid                                                      | (504,332,568)        | (655,567,767)          | (535,339,343)        | (676,481,543)          |
| <b>Net cash generated from/(used in) operating activities</b>   | <b>3,414,289,115</b> | <b>2,386,845,415</b>   | <b>3,425,031,013</b> | <b>2,346,765,218</b>   |
| <b>Cash Flows from Investing Activities</b>                     |                      |                        |                      |                        |
| Acquisition of property, plant & equipment                      | (305,167,340)        | (249,592,489)          | (305,336,572)        | (249,592,489)          |
| Acquisition of right of use assets                              | (119,590,927)        | (17,326,000)           | (119,590,927)        | (17,326,000)           |
| Acquisition of Intangible Assets                                | (18,665,996)         | (23,831,523)           | (18,665,996)         | (23,831,523)           |
| Investment in associates                                        | (21,394,236)         | -                      | (13,041,068)         | -                      |
| Proceeds from sales of property, plant & equipment              | 146,828,000          | 18,411,350             | 146,828,000          | 18,411,350             |
| Proceeds from sales of vehicles                                 | -                    | 262,252,000            | -                    | 262,252,000            |
| Proceeds from sales of real estates                             | -                    | 22,955,000             | -                    | 22,955,000             |
| Net sales/ (purchases) of financial investments -FVTPL/FVOCI    | (464,883,633)        | (1,636,253,705)        | (464,883,633)        | (1,636,253,705)        |
| Dividend received                                               | 12,264,186           | 29,789,738             | 19,219,784           | 20,174,158             |
| Interest on fixed deposits, commercial paper & treasury bills   | 405,447,590          | 243,766,340            | 421,109,825          | 256,767,567            |
| <b>Net cash generated from / (used in) investing activities</b> | <b>(365,162,356)</b> | <b>(1,349,829,289)</b> | <b>(334,360,587)</b> | <b>(1,346,443,642)</b> |
| <b>Cash flows from / (used in) financing activities</b>         |                      |                        |                      |                        |
| Settlement of operating Lease liabilities                       | (149,268,076)        | (140,943,853)          | (149,268,076)        | (140,943,853)          |
| Increase/(decrease) in borrowed funds                           | -                    | (867,759,553)          | -                    | (867,759,553)          |
| Net increase /(decrease) in other borrowings                    | (62,413,959)         | (3,140,673,013)        | (62,413,959)         | (3,140,673,013)        |
| Dividend paid                                                   | (168,480,000)        | (269,568,000)          | (168,480,000)        | (278,584,400)          |
| <b>Net cash generated from/(used in) financing activities</b>   | <b>(380,162,035)</b> | <b>(4,418,944,419)</b> | <b>(380,162,035)</b> | <b>(4,427,960,819)</b> |
| <b>Net increase/(decrease) in cash and cash equivalents</b>     | <b>2,668,964,724</b> | <b>(3,381,928,293)</b> | <b>2,710,508,391</b> | <b>(3,427,639,242)</b> |
| Cash and cash equivalents at the beginning of the year          | (2,952,136,234)      | 429,792,059            | (2,894,359,487)      | 533,279,755            |
| Cash and cash equivalents at the end of the year                | (283,171,510)        | (2,952,136,234)        | (183,851,096)        | (2,894,359,487)        |
| <b>Movement in Cash and Cash Equivalent</b>                     | <b>2,668,964,724</b> | <b>(3,381,928,293)</b> | <b>2,710,508,391</b> | <b>(3,427,639,242)</b> |

Note : Reporting cash flows from operating activities

The Company reports cash flows from operating activities by using the indirect method. The indirect method – whereby profit or loss is adjusted for the effects of non-cash items, any deferrals or accruals of past or future operating cash receipts or payments, and items of income or expense associated with investing or financing cash flows – is shown above.

Figures in brackets indicate deductions.

## Alliance Finance Company PLC

### Fair Value Hierarchy

Company

Financial assets

|                                                                  | Fair Value Measurement using       |                                  |                                       |                |
|------------------------------------------------------------------|------------------------------------|----------------------------------|---------------------------------------|----------------|
|                                                                  | Quoted Prices in<br>Active Markets | Significant<br>Observable Inputs | Significant<br>Unobservable<br>Inputs | Total          |
|                                                                  | Level 1<br>LKR                     | Level 2<br>LKR                   | Level 3<br>LKR                        | LKR            |
| As at 31st March 2024                                            |                                    |                                  |                                       |                |
| Financial assets - Recognised through Profit or Loss             |                                    |                                  |                                       |                |
| Government of Sri Lanka treasury bills                           | -                                  | 1,900,347,524                    | -                                     | 1,900,347,524  |
| Government of Sri Lanka treasury bonds                           | -                                  | 626,067,144                      | -                                     | 626,067,144    |
| Financial assets - Fair value through Profit or Loss             |                                    |                                  |                                       |                |
| Quoted Investments                                               | 127,629,421                        | -                                | -                                     | 127,629,421    |
| Investment in Unit Trust                                         | 854,924,669                        | -                                | -                                     | 854,924,669    |
| Financial assets - Fair value through Other Comprehensive Income |                                    |                                  |                                       |                |
| Quoted Investments                                               | 317,124,444                        | -                                | -                                     | 317,124,444    |
| Unquoted Investments                                             | -                                  | -                                | 579,250                               | 579,250        |
|                                                                  | 1,299,678,534                      | 2,526,414,668                    | 579,250                               | 3,826,672,452  |
| Liabilities                                                      |                                    |                                  |                                       |                |
| Due to Depositors                                                | -                                  | 28,387,365,249                   | -                                     | 28,387,365,249 |
| Due to Banks                                                     | -                                  | 20,310,185,391                   | -                                     | 20,310,185,391 |
| Derivative financial liabilities                                 | -                                  | 5,379,033                        | -                                     | 5,379,033      |
|                                                                  | -                                  | 48,702,929,673                   | -                                     | 48,702,929,673 |
| As at 31st March 2023                                            |                                    |                                  |                                       |                |
| Financial assets - Recognised through Profit or Loss             |                                    |                                  |                                       |                |
| Government of Sri Lanka treasury bills                           | -                                  | 3,130,690,272                    | -                                     | 3,130,690,272  |
| Financial assets - Fair value through Other Comprehensive Income |                                    |                                  |                                       |                |
| Quoted Investments                                               | 182,705,621                        | -                                | -                                     | 182,705,621    |
| Unquoted Investments                                             | -                                  | -                                | 579,250                               | 579,250        |
|                                                                  | 182,705,621                        | 3,130,690,272                    | 579,250                               | 3,313,975,143  |
| Liabilities                                                      |                                    |                                  |                                       |                |
| Due to Depositors                                                | -                                  | 20,475,847,835                   | -                                     | 20,475,847,835 |
| Due to Banks                                                     | -                                  | 22,571,002,700                   | -                                     | 22,571,002,700 |
| Derivative financial liabilities                                 | -                                  | 36,175,016                       | -                                     | 36,175,016     |
|                                                                  | -                                  | 43,083,025,551                   | -                                     | 43,083,025,551 |

Alliance Finance Company PLC

ANALYSIS OF FINANCIAL STATEMENTS MEASUREMENT BASIS

Company

As at 31st March 2024

|                                                                  | Financial assets<br>recognized<br>through profit or<br>loss (FVTPL ) | Financial assets at<br>amortized cost (AC) | Financial assets at<br>fair value through<br>other<br>comprehensive<br>income(FVOCI) | Total                 |
|------------------------------------------------------------------|----------------------------------------------------------------------|--------------------------------------------|--------------------------------------------------------------------------------------|-----------------------|
|                                                                  | LKR                                                                  | LKR                                        | LKR                                                                                  | LKR                   |
| <b>Asset</b>                                                     |                                                                      |                                            |                                                                                      |                       |
| Cash and cash equivalents                                        | -                                                                    | 1,037,507,757                              | -                                                                                    | 1,037,507,757         |
| Repurchase Agreements                                            | -                                                                    | 962,606,909                                | -                                                                                    | 962,606,909           |
| Placement with banks and other<br>financial institutions         | -                                                                    | 3,246,352,935                              | -                                                                                    | 3,246,352,935         |
| Financial asset recognized through profit<br>or loss             | 3,508,968,758                                                        | -                                          | -                                                                                    | 3,508,968,758         |
| Loans and receivables-Amortized Cost                             | -                                                                    | 23,506,870,064                             | -                                                                                    | 23,506,870,064        |
| Lease rental receivables at Amortized<br>Cost                    | -                                                                    | 22,597,190,332                             | -                                                                                    | 22,597,190,332        |
| Financial asset recognized through other<br>comprehensive income | -                                                                    | -                                          | 317,703,694                                                                          | 317,703,694           |
| Other financial assets                                           | -                                                                    | 458,631,541                                | -                                                                                    | 458,631,541           |
|                                                                  | <b>3,508,968,758</b>                                                 | <b>51,809,159,538</b>                      | <b>317,703,694</b>                                                                   | <b>55,635,831,990</b> |
| <b>Liabilities</b>                                               |                                                                      |                                            |                                                                                      |                       |
| Due to Depositors                                                | -                                                                    | 20,310,185,391                             | -                                                                                    | 20,310,185,391        |
| Due to Banks                                                     | -                                                                    | 28,387,365,249                             | -                                                                                    | 28,387,365,249        |
| Derivative Financial Liabilities                                 | -                                                                    | 5,379,033                                  | -                                                                                    | 5,379,033             |
| Other financial liabilities                                      | -                                                                    | 1,129,788,584                              | -                                                                                    | 1,129,788,584         |
|                                                                  | -                                                                    | 49,832,718,257                             | -                                                                                    | 49,832,718,257        |

As at 31st March 2023

|                                                                  | Financial assets<br>recognized<br>through profit or<br>loss (FVTPL ) | Financial assets at<br>amortized cost (AC) | Financial assets at<br>fair value through<br>other<br>comprehensive<br>income(FVOCI) | Total                 |
|------------------------------------------------------------------|----------------------------------------------------------------------|--------------------------------------------|--------------------------------------------------------------------------------------|-----------------------|
|                                                                  | LKR                                                                  | LKR                                        | LKR                                                                                  | LKR                   |
| <b>Asset</b>                                                     |                                                                      |                                            |                                                                                      |                       |
| Cash and cash equivalents                                        | -                                                                    | 566,946,383                                | -                                                                                    | 566,946,383           |
| Repurchase agreements                                            | -                                                                    | 250,154,110                                | -                                                                                    | 250,154,110           |
| Placement with banks and other<br>financial institutions         | -                                                                    | 4,905,611,281                              | -                                                                                    | 4,905,611,281         |
| Financial asset recognized through profit<br>or loss             | 3,130,690,272                                                        | -                                          | -                                                                                    | 3,130,690,272         |
| Loans and receivables-Amortized cost                             | -                                                                    | 17,449,867,823                             | -                                                                                    | 17,449,867,823        |
| Lease rental receivables at amortized                            | -                                                                    | 21,552,425,839                             | -                                                                                    | 21,552,425,839        |
| Financial asset recognized through other<br>comprehensive income | -                                                                    | -                                          | 182,705,621                                                                          | 182,705,621           |
| Derivative financial assets                                      | -                                                                    | -                                          | -                                                                                    | -                     |
| Other financial assets                                           | -                                                                    | 415,454,128                                | -                                                                                    | 415,454,128           |
|                                                                  | <b>3,130,690,272</b>                                                 | <b>45,140,459,564</b>                      | <b>182,705,621</b>                                                                   | <b>48,453,855,457</b> |
| <b>Liabilities</b>                                               |                                                                      |                                            |                                                                                      |                       |
| Due to Depositors                                                | -                                                                    | 20,475,847,835                             | -                                                                                    | 20,475,847,835        |
| Due to Banks                                                     | -                                                                    | 22,571,002,700                             | -                                                                                    | 22,571,002,700        |
| Derivative Financial Liabilities                                 | -                                                                    | 36,175,016                                 | -                                                                                    | 36,175,016            |
| Other financial liabilities                                      | -                                                                    | 522,582,852                                | -                                                                                    | 522,582,852           |
|                                                                  | -                                                                    | 43,605,608,403                             | -                                                                                    | 43,605,608,403        |

## Alliance Finance Company PLC

### SEGMENT REPORT

| 31st March 2024- Group                    | Leasing & Hire Purchase | Hire Purchase & Consumer Durables | Loans                | Gold Loans           | Hire of vehicles  | Investing in Shares | Investing in Government Securities | Collaboration Finance | Others             | Total                 |
|-------------------------------------------|-------------------------|-----------------------------------|----------------------|----------------------|-------------------|---------------------|------------------------------------|-----------------------|--------------------|-----------------------|
|                                           | LKR                     | Rs.                               | LKR                  | LKR                  | LKR               | LKR                 | LKR                                | LKR                   | LKR                | LKR                   |
| <b>REVENUE</b>                            |                         |                                   |                      |                      |                   |                     |                                    |                       |                    |                       |
| External sales                            | 16,507,384,205          | 1,552,898                         | 4,787,664,616        | 3,164,393,210        | 40,171,290        | 19,219,784          | 539,620,362                        | 19,809,050            | 683,031,856        | 25,762,847,271        |
| <b>Total revenue</b>                      | <b>16,507,384,205</b>   | <b>1,552,898</b>                  | <b>4,787,664,616</b> | <b>3,164,393,210</b> | <b>40,171,290</b> | <b>19,219,784</b>   | <b>539,620,362</b>                 | <b>19,809,050</b>     | <b>683,031,856</b> | <b>25,762,847,271</b> |
| Total income                              | 7,149,618,802           | 1,951,540                         | 2,436,067,831        | 3,164,393,210        | 40,171,290        | 19,219,784          | 560,397,480                        | 19,809,050            | 672,246,480        | 14,063,875,468        |
| <b>RESULTS</b>                            |                         |                                   |                      |                      |                   |                     |                                    |                       |                    |                       |
| <b>Segment results</b>                    | <b>5,499,090,071</b>    | <b>1,813,292</b>                  | <b>1,825,176,714</b> | <b>2,671,965,250</b> | <b>7,484,159</b>  | <b>18,742,861</b>   | <b>552,814,354</b>                 | <b>19,809,050</b>     | <b>642,078,336</b> | <b>11,238,974,087</b> |
| Unallocated company expenses              |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | (2,148,715,135)       |
| Operating profit                          |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | 9,090,258,952         |
| Interest expenses                         | (2,978,400,246)         | -                                 | (1,740,484,937)      | (1,357,730,268)      | (27,105,545)      | (41,873,473)        | (476,676,093)                      | (6,055,291)           | (658,114,652)      | (7,286,440,505)       |
| Share of profits of associates before tax |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | 18,031,098            |
| Income taxes                              |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | (813,288,033)         |
| <b>Net Profit</b>                         |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | <b>1,008,561,512</b>  |
| <b>OTHER INFORMATION</b>                  |                         |                                   |                      |                      |                   |                     |                                    |                       |                    |                       |
| Segment assets                            | 22,597,806,537          | -                                 | 13,205,458,850       | 10,301,411,294       | 205,656,000       | 317,703,694         | 3,616,650,998                      | 45,942,884            | 4,993,266,978      | 55,283,897,235        |
| Investment in associates                  |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | 128,484,547           |
| Unallocated company assets                |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | 5,109,116,810         |
| <b>Total assets</b>                       |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | <b>60,521,498,592</b> |
| Segment liabilities                       | 20,179,606,515          | -                                 | 10,950,638,005       | 8,542,454,094        | 170,540,413       | 263,456,059         | 2,999,110,922                      | 38,098,176            | 4,140,670,845      | 47,284,575,029        |
| Unallocated company liabilities           |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | 4,809,942,312         |
| <b>Total liabilities</b>                  |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | <b>52,094,517,341</b> |

## Alliance Finance Company PLC

### SEGMENT REPORT

| 31st March 2023 - Group                   | Leasing & Hire Purchase | Hire Purchase & Consumer Durables | Loans                | Gold Loans           | Hire of vehicles  | Investing in Shares | Investing in Government Securities | Collaboration Finance | Others             | Total                 |
|-------------------------------------------|-------------------------|-----------------------------------|----------------------|----------------------|-------------------|---------------------|------------------------------------|-----------------------|--------------------|-----------------------|
|                                           | Rs.                     | Rs.                               | Rs.                  | Rs.                  | Rs.               | Rs.                 | Rs.                                | Rs.                   | Rs.                | Rs.                   |
| <b>REVENUE</b>                            |                         |                                   |                      |                      |                   |                     |                                    |                       |                    |                       |
| External sales                            | 16,120,699,009          | 1,639,599                         | 3,247,717,633        | 2,935,829,560        | 37,045,825        | 20,174,158          | 547,916,638                        | 18,311,766            | 344,306,763        | 23,273,640,951        |
| <b>Total revenue</b>                      | <b>16,120,699,009</b>   | <b>1,639,599</b>                  | <b>3,247,717,633</b> | <b>2,935,829,560</b> | <b>37,045,825</b> | <b>20,174,158</b>   | <b>547,916,638</b>                 | <b>18,311,766</b>     | <b>344,306,763</b> | <b>23,273,640,951</b> |
| Total income                              | 6,967,150,528           | 1,622,117                         | 1,644,775,406        | 2,935,829,560        | 37,045,825        | 20,174,158          | 558,999,841                        | 18,311,766            | 341,187,241        | 12,525,096,443        |
| <b>RESULTS</b>                            |                         |                                   |                      |                      |                   |                     |                                    |                       |                    |                       |
| <b>Segment results</b>                    | <b>6,417,575,154</b>    | <b>1,590,539</b>                  | <b>1,473,948,487</b> | <b>2,846,292,108</b> | <b>28,236,493</b> | <b>20,076,492</b>   | <b>556,177,596</b>                 | <b>18,311,766</b>     | <b>343,748,523</b> | <b>11,705,957,158</b> |
| Unallocated company expenses              |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | (3,289,620,992)       |
| Operating profit                          |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | 8,416,336,166         |
| Interest expenses                         | (3,303,652,396)         | -                                 | (1,155,374,597)      | (1,511,778,948)      | (24,231,593)      | (28,005,932)        | (518,230,971)                      | (9,967,194)           | (843,972,390)      | (7,395,214,021)       |
| Share of profits of associates before tax |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | 21,068,498            |
| Income taxes                              |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | (482,740,665)         |
| <b>Net Profit</b>                         |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | <b>559,449,978</b>    |
| <b>OTHER INFORMATION</b>                  |                         |                                   |                      |                      |                   |                     |                                    |                       |                    |                       |
| Segment assets                            | 21,552,425,901          | -                                 | 7,537,453,218        | 9,862,570,224        | 158,082,500       | 182,705,621         | 3,380,844,382                      | 65,024,152            | 5,505,922,007      | 48,245,028,005        |
| Investment in associates                  |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | 97,412,381            |
| Unallocated company assets                |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | 4,081,065,969         |
| <b>Total assets</b>                       |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | <b>52,423,506,355</b> |
| Segment liabilities                       | 19,223,812,270          | -                                 | 6,345,030,902        | 8,302,315,256        | 133,073,907       | 153,801,659         | 2,845,996,049                      | 54,737,355            | 4,634,887,128      | 41,693,654,526        |
| Unallocated company liabilities           |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | 3,564,055,358         |
| <b>Total liabilities</b>                  |                         |                                   |                      |                      |                   |                     |                                    |                       |                    | <b>45,257,709,882</b> |

## Alliance Finance Company PLC

### Explanatory Notes

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**1** These Interim Financial Statements have been prepared in accordance with the requirements of Sri Lanka Accounting Standard - LKAS 34 on 'Interim Financial Reporting'.

**2** The accounting policies adopted in the preparation of these Interim Condensed Consolidated Financial Statements are consistent with those followed in the preparation of the Company's Annual Consolidated Financial Statements for the year ended 31 March 2023.

#### **3 Expected Credit Loss Computation**

The Company's estimated Expected Credit Loss (ECL) was based on the Probability of Default (PD), Loss Given Default (LGD) and Economic Factor Adjustment (EFA) applying a range of forecasted economic conditions prevailed as at that date.

#### **4 Going Concern**

In determining the basis of preparing the Financial Statements for the quarter ended 31st March 2024, the management has assessed the existing and anticipated effects of macro economic factor fluctuations on the Company and the management is in the view of appropriateness of the use of the going concern basis.

#### **5 Commitments & Contingencies**

|                             | <b>31st March 2024</b> | <b>31st March 2023</b> |
|-----------------------------|------------------------|------------------------|
|                             | Rs.                    | Rs.                    |
| Commitments & Contingencies | 820,666,741            | 857,880,137            |

Commitments & Contingencies represent the financial guarantees issued by the company and the value of the tax assessments issued by the Department of Inland Revenue. The Company has formally objected to the tax assessments stating the reasons on which the Company believes that assessments are arbitrary and excessive. Company has also actively engaged with the Department of Inland Revenue to conclude these pending assessments.

There are no significant changes in the nature of the Contingent Liabilities other than disclosed above.

**6** There were no other material events that took place since March 2024, that require disclosure in these Interim Financial Statements other than mentioned below.

**7** The Board of Directors of the Company on 28th May 2024 declared a final cash dividend of Rs 8.4 per share for the financial year ended 31st March 2024 subject to the approval of the shareholders at the Annual General Meeting. Further the Company received the central bank approval for the above proposed dividends.

**8** During the quarter, there were no material changes in the composition of assets, liabilities and/or contingent liabilities, other than those disclosed above.

**9** All known expenses including management fees and other similar expenses have been provided for the year ended 31st March 2024.

**Alliance Finance Company PLC**  
**Explanatory Notes (Continued.)**

| Selected Performance Indicators                   |               |               |
|---------------------------------------------------|---------------|---------------|
|                                                   | 3/31/2024     | 3/31/2023     |
| <b>Capital Adequacy (%)</b>                       |               |               |
| Tier 1 Capital Adequacy Ratio (minimum 8.5%)      | 12.07%        | 12.42%        |
| Total Capital Adequacy Ratio (minimum 12.5%)      | 14.38%        | 16.55%        |
| Capital Funds to Deposit Liabilities Ratio        | 25.35%        | 34.67%        |
| <b>Profitability (%)</b>                          |               |               |
| Return on average shareholders funds (before tax) | 22.51%        | 13.94%        |
| Return on average assets (before tax)             | 3.02%         | 1.89%         |
| <b>Liquidity ('000)</b>                           |               |               |
| Required Minimum Amount of Liquid Assets          | 2,768,262     | 2,112,142     |
| Available Amount of Liquid Assets                 | 3,958,986     | 4,010,497     |
| Required Minimum Amount of Government Securities  | 1,455,886     | 1,162,842     |
| Available Amount of Government Securities         | 3,292,629     | 3,376,078     |
| <b>Quality of Loan Portfolio (%)</b>              |               |               |
|                                                   | <u>90 DPD</u> | <u>90 DPD</u> |
| Gross Non-Performing Loans Ratio                  | 9.38%         | 13.03%        |
| Net-Non-Performing Loans Ratio                    | 5.49%         | 8.66%         |

## Alliance Finance Company PLC

### Shareholders' Information

#### Market price per share

| Quarter ended 01st January to 31st March | 2024  | 2023  |
|------------------------------------------|-------|-------|
| Highest Price                            | 93.40 | 71.40 |
| Lowest Price                             | 75.00 | 55.50 |
| Last Traded                              | 90.40 | 66.80 |

#### Stated capital

As at 31st March 2024, the Stated Capital was Rs. 613,980,000/- comprising of 33,696,000 ordinary shares issued.

#### Directors'/ CEO's Holding in Shares as at 31st March 2024

| No | Name of Director              | No. of Shares |
|----|-------------------------------|---------------|
| 1  | Mrs.G.S.T. Dharmakirti-Herath | 100           |
| 2  | Mr.R.K.E.P. De Silva          | 11,881,187    |
| 3  | Mr.W.P.K. Jayawardana         | 42,750        |
| 4  | Mr.M.J. Benedict              | 1,000         |
| 5  | Mrs.P. De Silva               | 100           |
| 6  | Mr.L.J.H. De Silva            | 3,052         |
| 7  | Mr.D.L.I. Hettiarachchi       | 100           |

#### Twenty Largest Ordinary Shareholders as at 31st March 2024

| No. | Name of Shareholder                           | No. of Shares | %     |
|-----|-----------------------------------------------|---------------|-------|
| 1   | Mr.R.K.E.P. De Silva                          | 11,881,184    | 35.26 |
| 2   | Motor Service Station (Pvt) Ltd.,             | 4,636,107     | 13.76 |
| 3   | Mrs D.M.E.P. Perera                           | 2,544,909     | 7.55  |
| 4   | Mr.D.F.W.S.K. Perera & Mr.D.F.W. Perera       | 1,463,057     | 4.34  |
| 5   | Orient Hotels Ltd.,                           | 1,358,323     | 4.03  |
| 6   | Mrs.S.E. Canekaratne                          | 612,268       | 1.82  |
| 7   | Mr.D.L.S.R. Perera                            | 553,556       | 1.64  |
| 8   | Mrs.C.R. De Silva                             | 374,400       | 1.11  |
| 9   | Mr. D.F.W. Perera                             | 343,089       | 1.02  |
| 10  | Ms.D.C.M.A. Perera                            | 343,004       | 1.02  |
| 11  | Hatton National Bank PLC/Mr.K.K. Shujeevan    | 334,434       | 0.99  |
| 12  | Ms.D.D.P.T. Perera                            | 319,384       | 0.95  |
| 13  | Mrs.P.N. Weththasinghe                        | 299,975       | 0.89  |
| 14  | Mrs.A.S. Wijewardena                          | 259,200       | 0.77  |
| 15  | J B Cocoshell (Pvt) Ltd.                      | 258,698       | 0.77  |
| 16  | Mr.G.P. Kapilasena                            | 201,180       | 0.60  |
| 17  | Mrs.K.G.G.S.L. Perera                         | 201,066       | 0.60  |
| 18  | Mrs.N.U. Silva                                | 172,105       | 0.51  |
| 19  | Mrs.C. Yogagopalakrishnan & Mrs.Y. Thirukumar | 155,920       | 0.46  |
| 20  | Mr.K. Krishnasamy                             | 138,240       | 0.41  |

## Alliance Finance Company PLC

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### Shareholders' Information

#### Public Shareholding as at 31st March 2024

| No of Shares | %     |
|--------------|-------|
| 17,164,399   | 50.94 |

#### No of Shareholders

The percentage of ordinary shares held by the public as at 31st March 2024 was 50.94 and the number of shareholders representing the public holding was 1988.

#### Float Adjusted Market Capitalization

The Float adjusted market capitalization as at 31st March 2024 - Rs. 1,551,661,670/- and the Company falls under Option 5 of Rule 7.13.1 (a), of the Listing Rules of the Colombo Stock Exchange and the Company has complied with the minimum public holding requirement applicable under the said option.

## Alliance Finance Company PLC

### Corporate Information

#### Name of the Company

Alliance Finance Company PLC

#### Statutory Status

Quoted Public Limited Liability Company, Incorporated on 18th July 1956. Approved and registered under the Finance Business Act No.42 of 2011 and Finance Leasing Act No.56 of 2000. An approved Credit Agency under the Mortgage Act No.06 of 1949 and the Trust receipt Ordinance No.12 of 1947.

#### Company Registration

Registered under the Companies Act No.07 of 2007.  
Company Registration number PQ 93

#### Registered Office

Alliance House, No.84, Ward Place, Colombo 07.  
Tel : 011 2673673 Fax: 011 2697205  
e mail : info@alliancefinance.lk

#### Board of Directors

Mrs.Tamara Dharmakirti Herath - *Chairperson*  
Mr. Romani de Silva - F.I.C.M.(SL) - *Deputy Chairman / Managing Director*  
Mr.Kusal Jayawardana - CFA, MBA, ACMA. CGMA - *Deputy Managing Director*  
Mr. Michael Joseph Benedict - MBA, CMA, CMSLIM - *Executive Director Recoveries*  
Mrs. Priyanthi de Silva - FCMA, CGMA, FCPA - *Independent Non Executive Director*  
Mr.Hiran de Silva - *Independent Non Executive Director*  
Mr. Lasantha Ivers Hettiarachchi - LLM,DCL, Attorney at Law -*Independent Non Executive Director*

#### Secretaries

Alliance Management Services (Pvt) Ltd.  
No. 84, Ward Place  
Colombo 07.

#### Legal Consultants

Gunawardene Ranasinghe Associates  
Sudath Perera Associates

#### Board Audit Committee

Mrs. Priyanthi de Silva - *Chairperson*  
Mrs.Tamara Dharmakirti Herath  
Mr.Hiran de Silva

#### Remuneration Committee

Mr.Lasantha Ivers Hettiarachchi - Chairman  
Mrs.Tamara Dharmakirti Herath  
Mr.Hiran de Silva

#### Related Party Transaction Review Committee

Mr.Lasantha Ivers Hettiarachchi - Chairman  
Mrs.Tamara Dharmakirti Herath  
Mr.Hiran de Silva

#### Board Integrated Risk Management Committee

Mrs. Priyanthi de Silva - Chairperson  
Mrs.Tamara Dharmakirti Herath  
Mr.Hiran de Silva

#### Auditors

M/s Deloitte Associates  
Chartered Accountants,  
No.11, Castle Lane,  
Colombo 04.

#### Advisory Council

Mrs. K.S.K. de Silva  
Mr. B. Ponnambalam  
Mr. K. Kanag Isvaran  
Mr.S.P. Morawake - Former Registrar of Companies

#### Bankers

Sampath Bank PLC  
Seylan Bank PLC  
Public Bank Berhad  
People's Bank  
Hatton National Bank PLC  
Commercial Bank of Ceylon PLC  
Bank of Ceylon  
Nations Trust Bank PLC  
Union Bank of Colombo PLC  
DFCC Bank PLC  
NDB Bank PLC  
Cargills Bank